

RISK AND REWARD OF MANAGED FUND SECTORS

Generally, the more volatile the asset, the better the return. Spreading investments helps achieve high returns while minimizing risk.



NEED TO KNOW

- **Market index** A statistical measurement reflecting the performance of stocks, shares, and bonds in a single market.
- **Index arbitrage** An investment strategy of profiting from the price difference in buying and selling futures in the same stock index. *See pp. 68–69.*
- **Index fund** An investment fund consisting of stocks in one particular market index, such as Standard & Poor's 500.

Indexes to know

- **FTSE 100** Top 100 UK companies.
- **FTSE All-share** All companies on London stock exchange.
- **Dow Jones** Top 30 US companies.
- **Standard & Poor's 500** Top 500 US companies.
- **Wilshire 5000** Total US stocks.
- **MSCI EAFE** Equity markets in 21 European and Pacific countries.

3 Buying a fund

The fund manager should be registered with the SEC under the Advisor's Act.

Direct investment through an online platform is possible via a broker.

How many units to buy and how much to spend is best determined with expert advice.

Diversification should be kept within limits to spread risk, but not over-diversify.

Fees will affect returns: the greater the fee, the lower the return.

Withdrawal rights should be checked: there may be penalties for early termination.

4 Managing a fund

Regular performance reports Figures received every month or quarter should be reviewed.

Warning signs These might include the promise of high returns with little or no risk and should be investigated.

Statements Brokerage receipts, annual summaries, and other statements should be filed.